Kevin Park · Financial planner

# Your starter money plan

Made on November 8, 2026, from your answers. Your numbers never left your browser.

## Your next moves

- [ ] **1. Raise your 401(k) to 5% of your pay**
  You're missing about $780 a year in free money from your employer.
- [ ] **2. Open a high-yield savings account and build a $3,100 cushion**
  Set up an automatic transfer of $480 on payday so it happens without you.
- [ ] **3. Put every extra dollar toward your $2,400 card balance**
  Card interest at 23% grows faster than savings. Once it's gone, that payment becomes savings.
- [ ] **4. Grow your emergency fund to $12,200**
  At $480 a month you'll get there by August 2028.
- [ ] **5. Look at your biggest bill: rent or mortgage**
  Your must-pay bills are $650 a month over your needs budget. Rent or mortgage is $1,650.
- [ ] **6. Set aside $800 a month toward your home down payment**
  Keep it in mostly cash and bonds.

## Your numbers

Take-home pay
**$4,800 a month**

Cost of living
**Austin, TX area, medium-cost**

Budget split
**50% needs, 30% wants, 20% savings**

Savings budget
**$960 a month**

Must-pay bills
**$3,050 a month**

Emergency fund target
**$12,200 (4 months)**

Saved now
**$2,500**

Risk profile
**Growth, about 70 to 80% stocks**

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Employer match
**$780 a year missed**

## Your budget



Needs 50%
**$2,400/mo**

Wants 30%
**$1,440/mo**

Savings 20%
**$960/mo**

Your must-pay bills come to $3,050 a month, which is $650 over your needs budget. Trim wants first so savings stay on track.

## Your safety net

Target: $12,200, which is 4 months of must-pay bills. You have $2,500 saved. At $480 a month, you'll reach it by August 2028.

**What to look for in a high-yield savings account**

- [ ] Insured by the FDIC (banks) or NCUA (credit unions), up to $250,000
- [ ] No monthly fee and no minimum balance to earn the rate
- [ ] A rate that lasts, not a six-month promo
- [ ] No direct deposit or monthly deposit requirement you can't meet
- [ ] Transfers to checking in one or two business days

## Where your next dollar goes

1. **Get your full 401(k) match** — **Next**
   Put in at least 5% of your pay. Your employer adds up to 4% more.
2. **Save a starter cushion of $3,100** — **Later**
   One month of must-pay bills, or $1,000 if that's more. Keep it in a high-yield savings account.
3. **Pay down your $2,400 card balance** — **Later**
   Card interest at 23% costs more than investing usually earns. Pay the minimum on everything else and put the rest here.

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4. **Finish your emergency fund: $12,200** — Later
   4 months of must-pay bills, based on how steady your income is.

5. **Open a Roth IRA** — Later
   You pay tax now, at a lower rate, and take it out tax-free in retirement. The 2026 limit is $7,500.

6. **Raise your 401(k) toward 15% of pay** — Later
   Counting the match, you're at 6%. The 2026 limit for your own contributions is $24,500, and the Roth 401(k) option fits your tax bracket.

7. **Invest the rest in a brokerage account** — Later
   For goals 5 or more years away and anything past your retirement accounts.

## Your goals

**Home down payment: $40,000 by 2031** — **$800/mo**
Keep it in mostly cash and bonds.

## Investing

You could invest about $0 a month after your safety net, debt, and goals. A common target is 15% of your pay before taxes for retirement, counting your employer's match.

**Your mix: growth**




**Ways to invest, from least effort to most**

| | |
|---|---|
| **Target-date funds** | Lowest effort. Check the yearly fee, called the expense ratio, since it varies a lot. |
| **Index funds and ETFs** | Low effort, wide spread, and yearly fees that are often under 0.10%. |
| **Robo-advisors** | Low effort outside a 401(k). Expect a fee of about 0.25% a year on top of the funds' own fees. |
| **Individual stocks** | High effort and little spread unless you own many. Many people keep this to a small slice, under 10%. |

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